and an index fund is **passively managed**. An actively managed fund has a professional investment manager who decides how and where the money is invested. These people are doing market research, looking for trends, and so forth. A passively managed account is much simpler. It just invests the money according to whichever index it is following. If you invest in an S&P 500 index fund, it automatically invests according to the S&P 500, and there is no professional making subjective decisions. We'll cover this in more detail further on.

Do You Want to Turn Your Money into More Money?

I hope that rhetorical question grabbed your attention because, historically speaking, investing in mutual and index funds is one of the most reliable ways to grow your wealth. Investing is all about your **return on investment (ROI)**. Your return on investment shows you the percent of your original investment you have made or lost.

$$\text{ROI} = \frac{\text{Profit}}{\text{Original Investment}}$$

If you invest $50 in a company and one year later that investment is worth $75, then you have made a profit of $25 and an ROI of 50%. The ROI is 50% because the profit you made ($25) is 50% of your original investment ($50). Let's take a look at some more examples of ROI. in Table 8.1.